

China's Expanding Role in Transition Mineral Finance

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Photo: Glody Murhabazi / AFP

Introduction

As governments expand investment in electric vehicles, renewable energy systems, and advanced manufacturing, global demand for transition minerals has increased significantly. Minerals such as copper, cobalt, lithium, and nickel are essential components of clean energy technologies and battery production. Because of their importance to decarbonization and industrial manufacturing, many governments increasingly view access to these materials as both an economic and national security concern.^{1 2}

China has become one of the most important actors in this landscape. Over the past two decades, Chinese state institutions have financed mining, processing, transportation, and industrial projects tied to transition minerals around the world. Much of this activity overlaps with the Belt and Road Initiative (BRI), which expanded Chinese overseas infrastructure and industrial investment after 2013.³ Chinese policymakers and firms increasingly view overseas mineral access as important for supply chain security and long-term economic influence.

In this context, transition minerals have become an increasingly important source of geopolitical competition. International organizations and policymakers have warned that concentrated supply chains could create economic vulnerabilities and strategic dependencies as countries expand renewable energy and electrification efforts^{4 5}

This report examines patterns in Chinese financing for transition mineral projects between 2000 and 2023 using William & Mary AidData's *Tracking China's Transition Mineral Financing, Version 2.0* dataset.

¹ International Energy Agency. (2021). The role of critical minerals in clean energy transitions. Paris: IEA.

² U.S. Department of Energy. (2023). Critical materials assessment. Washington, DC: DOE.

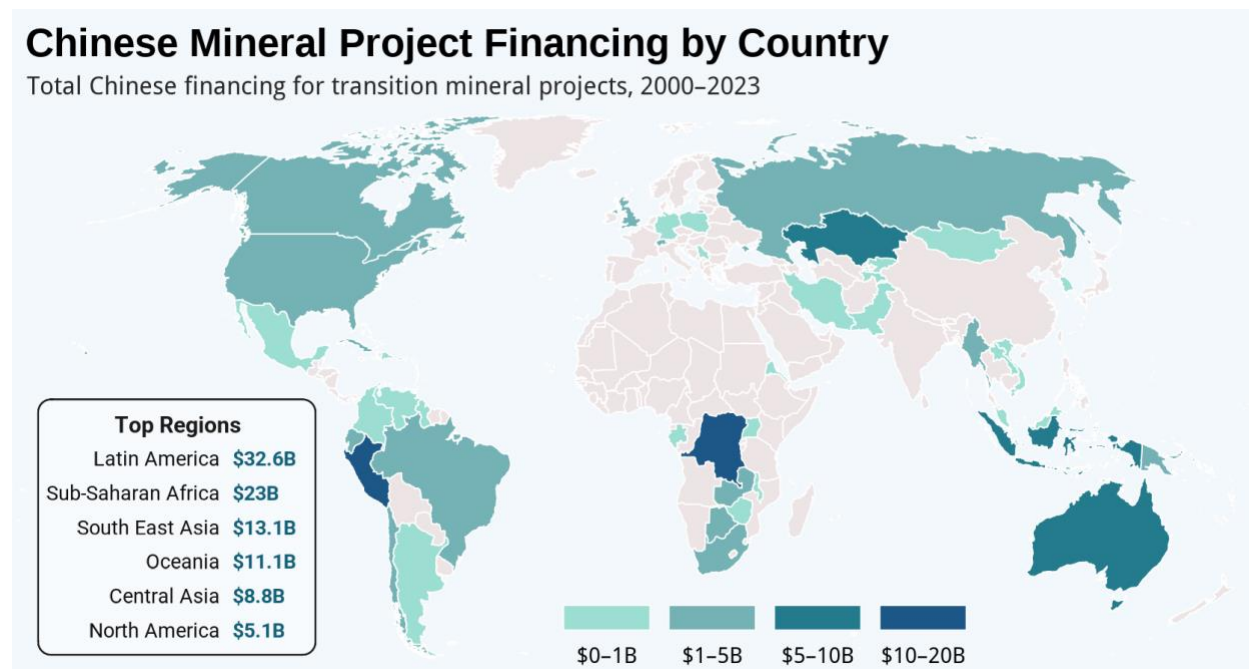
³ Hillman, J. E. (2020). The emperor's new road: China and the project of the century. Yale University Press.

⁴ International Renewable Energy Agency. (2023). Geopolitics of the energy transition: Critical materials. Abu Dhabi: IRENA.

⁵ World Bank. (2020). Minerals for climate action: The mineral intensity of the clean energy transition. Washington, DC: World Bank.

Global Distribution of Chinese Mineral Finance

Many of the countries receiving large volumes of Chinese financing already occupied important positions within global mining supply chains. Peru and Chile are major copper producers, while the Democratic Republic of the Congo dominates global cobalt production. Indonesia has also become increasingly important because of its role in nickel extraction and refining.⁶



Kazakhstan stands out because of its large reserves of copper, uranium, and other strategic minerals, as well as its geographic importance within the Belt and Road Initiative. Chinese financing in Kazakhstan expanded alongside broader transportation and industrial partnerships across Central Asia.⁷

China itself also appears prominently because domestic projects support refining, battery manufacturing, and vertically integrated supply chains. China currently controls a large share of global refining capacity for several transition minerals.⁸

⁶ International Energy Agency. (2021). The role of critical minerals in clean energy transitions. Paris: IEA.

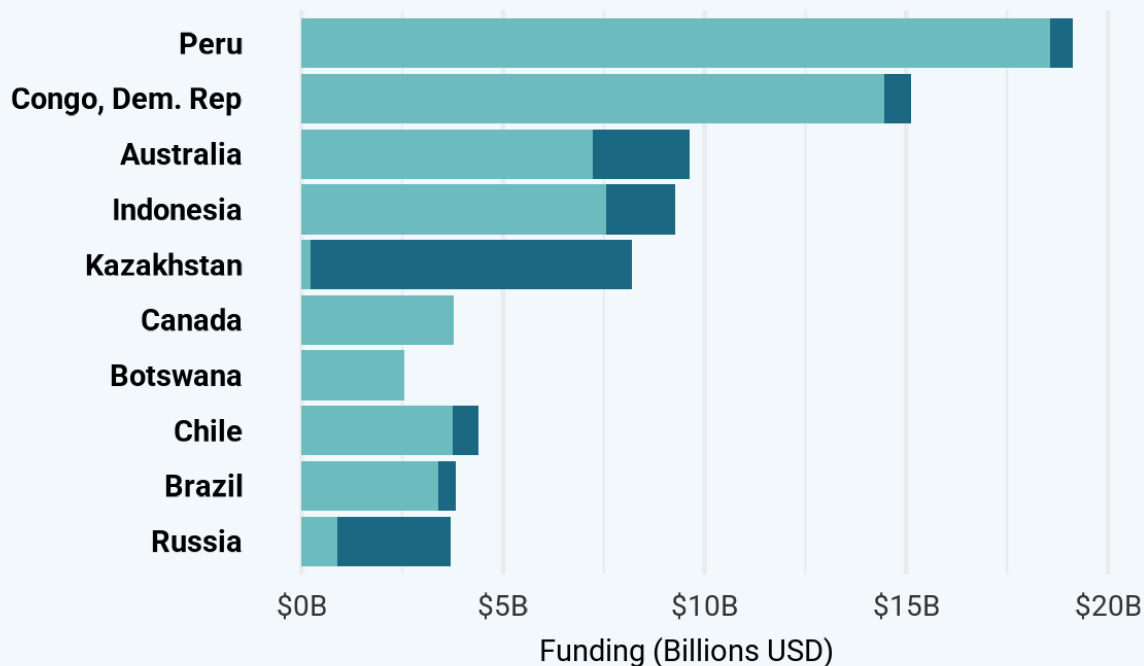
⁷ Kassenova, N. (2022). China's evolving role in Central Asia. Carnegie Endowment for International Peace.

⁸ U.S. Department of Energy. (2023). Critical materials assessment. Washington, DC: DOE.

Chinese Financing Is Concentrated in Projects with Significant Chinese Ownership Over Mineral Products

Chinese-financed transition mineral projects, 2000–2023

Chinese Ownership Stake Significant Ownership No Significant Ownership



Chinese overseas financing often involves close relationships between lenders, state-owned enterprises, and industrial firms. Unlike some traditional development financing models, Chinese projects are frequently tied to broader commercial and industrial objectives.^{9 10}

In the mining sector, ownership over mineral products can provide long-term access to extraction, refining, and downstream manufacturing activities. The AidData dataset defines projects with significant Chinese ownership as projects in which Chinese public or private entities hold majority or substantial ownership stakes connected to the mineral products themselves.

⁹ Brautigam, D. (2020). A critical look at Chinese 'debt-trap diplomacy': The rise of a meme. *Area Development and Policy*, 5(1), 1–14.

¹⁰ Gallagher, K. P., & Myers, M. (2020). China-Latin America finance database. Boston University Global Development Policy Center.

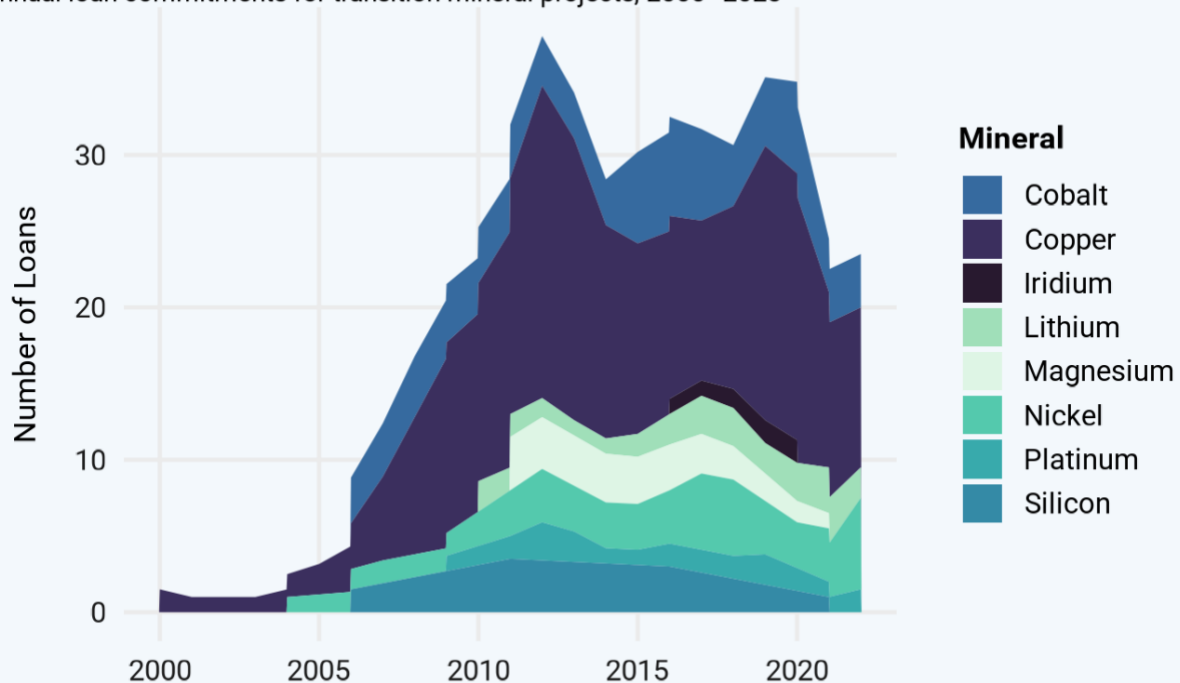
This structure is especially important for minerals such as copper, cobalt, lithium, and nickel, which are critical to battery technologies and renewable energy infrastructure. Direct ownership can reduce supply uncertainty while strengthening China's role within strategic supply chains.

Growth of Transition Mineral Lending

Chinese financing for transition mineral projects expanded rapidly during the 2010s as governments and industries increased investment in electrification and renewable energy technologies. The International Energy Agency estimates that demand for many transition minerals could increase several times over under ambitious decarbonization scenarios.

Chinese Critical Mineral Lending Surged After 2010

Annual loan commitments for transition mineral projects, 2000–2023



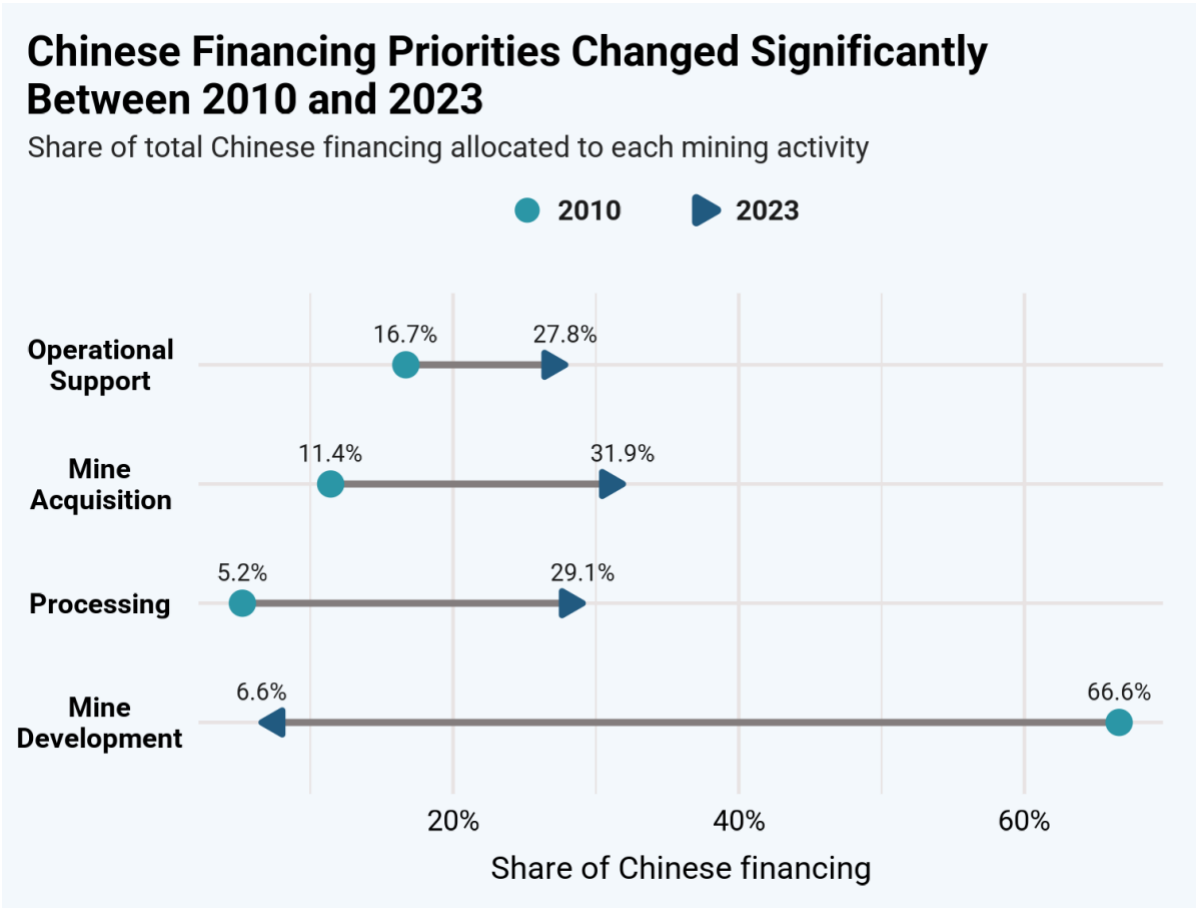
Includes minerals designated as critical to the clean energy transition by USGS and DOE.

China was well positioned to respond because of its state-backed financial institutions and dominance in mineral refining and battery manufacturing. The expansion of the Belt and Road Initiative also created additional opportunities for overseas industrial investment.

Copper became one of the central minerals within this financing landscape because of its importance for electrical infrastructure and renewable energy systems. Financing activity also diversified into battery-related minerals such as cobalt, lithium, and nickel.¹¹

Ownership and Shifting Financing Priorities

The distribution of Chinese financing across mining activities changed substantially over time. Early financing activity focused heavily on mine development, particularly as countries sought to expand extraction capacity during commodity booms.



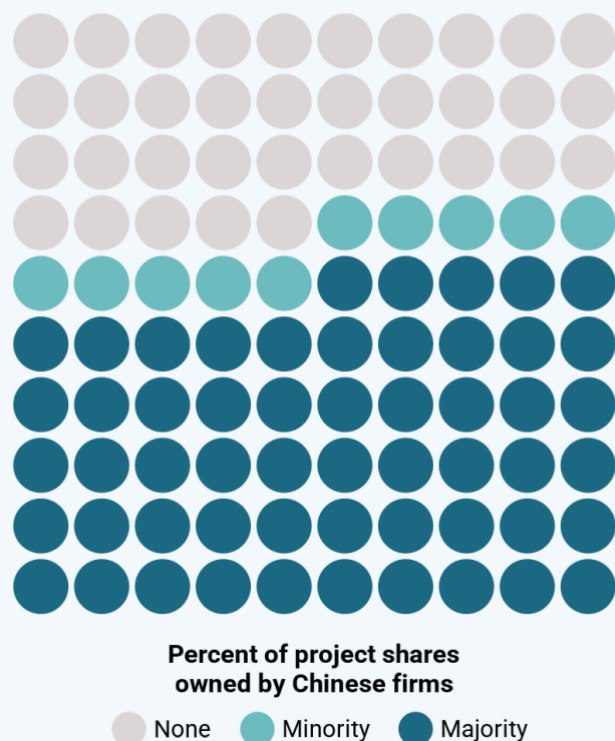
Over time, financing shifted toward processing, acquisitions, and operational support. This change is significant because processing is one of the most strategically valuable

¹¹ International Renewable Energy Agency. (2023). Geopolitics of the energy transition: Critical materials. Abu Dhabi: IRENA.

segments of the supply chain and plays a major role in battery manufacturing and industrial production.¹²

Chinese Ownership in Mineral Projects Is Often All or Nothing

Global transition mineral projects financed by China, 2000–2023



China already holds a dominant position in several processing sectors, particularly for battery-related minerals and rare earth elements. Expanding financing for processing projects may therefore reflect efforts to strengthen existing industrial advantages and reduce vulnerability to supply disruptions¹³

Patterns of ownership within financed projects reveal another notable trend: projects tend to involve either majority Chinese ownership over mineral products or no substantial ownership at all. Relatively few projects fall into the middle category of partial ownership.

This pattern suggests that Chinese involvement in transition mineral projects

often follows one of two models. In some cases, Chinese firms maintain strong ownership positions tied directly to mineral production and supply chains. In others, Chinese financing is provided without substantial ownership participation.

The limited number of projects with minority ownership stakes may reflect the financial scale and long timelines associated with large mining projects, which often encourage greater operational involvement from lenders.¹⁴

¹² Farrell, D., Heim, I., & Trivedi, V. (2020). China's role in the global battery supply chain. McKinsey & Company.

¹³ U.S. Department of Energy. (2023). Critical materials assessment. Washington, DC: DOE.

¹⁴ Bridge, G. (2008). Global production networks and the extractive sector: Governing resource-based development. *Journal of Economic Geography*, 8(3), 389–419.

Conclusion

Chinese financing for transition mineral projects expanded alongside growing global demand for minerals tied to renewable energy and battery production. Financing activity became concentrated in countries with major mineral reserves and increasingly reflected broader industrial and geopolitical priorities.

At the same time, financing priorities shifted away from mine development and toward processing, acquisitions, and operational support. Chinese financing also remained closely connected to projects involving significant Chinese ownership over mineral products, reinforcing China's role within global transition mineral supply chains.

As competition over critical minerals intensifies, these financing patterns are likely to remain an important part of the global clean energy transition.